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As India prepares to speed up economic growth to meet the Viksit Bharat dream by 2047, one question crops up quite often: What is to be done? That's a question 76-year-old economist Arvind Virmani, member of the NITI Aayog, has tackled at different junctures of India's development journey. In an interview to BT, he talks about the areas that receive lesser attention in conversations about reforms but which are equally vital to ensure that growth meets ambitions. Edited excerpts:

Q: What would be the top two or three areas on which we need to work to reach Viksit Bharat status?

A: Let me start with things that are less talked about. I would point to three things that I learnt and investigated over the last two-and-a-half years at the NITI Aayog. The first is what we could call the quality of learning and teaching. Statistics show that enrolment rates are 100% or thereabouts. The completion rates of various levels of schooling are very high, but learning tests show that we are very far behind where we need to be. So, in per capita terms, we are more or less in sync with other such countries. But **if we want to become an upper middle-income country in 10 years, and a higher income country in 25 years, we must rapidly improve the quality of learning and teaching in schools.**

The second is the skilling system. All the data that I have looked at shows that we are pretty far behind. So, not only do we have to catch up to the level where we

should be, we must raise it to the *Viksit* level. And third, is local infrastructure. When we talk about urban infrastructure, we are talking about households in cities or towns, but the quality of the infrastructure in the legacy industrial estates is pathetic. **A huge amount of work needs to be done on local infrastructure, just the basics like roads, cleanliness, sanitation, sewage, etc. And the problem in India is even when you put up something new, sustainability is critical.**

Q: Should this improvement in local infrastructure remain confined only to the industrial estates, or should the approach of the states and local bodies be to have all areas reach a certain standard?

A: What I said is that even if there was an improvement in urban infrastructure, I am afraid the industrial estates would get left behind. When you are talking about a town, you can't just look at the industrial estate.

“One of the things that I have proposed is using AI to reform laws, rules, regulations. [That] could be a way to cut through the thicket to see where the overlaps are, where things can be simplified”

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But when you are improving the town, whether it is Tier III or IV, please do not forget the industrial area. Somehow, we take it for granted that these areas can look after themselves. They cannot look after public infrastructure. That must be provided by the local and state authorities. And it is generally neglected.

Q: What are your thoughts on labour reforms in the medium and long term?

A: Labour is on the concurrent list, so there's a role for both the national and state levels. Just the numbers first, the reasonable projections I've seen suggest an average of seven to eight million new entrants to the labour force every year over the next decade or two.